

**BAKER
HUGHES**

Rpt Date 27/Dec/2006			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)								
Job# 1		Spud Date 09/Nov/2006			MD 2385.00 m			Progress 0.00 m		Present Activity Reaming							
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Terry Nanidis								
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN								
Drilling Assembly						Casing		Volumes	Pump Information								
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC		PDC			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	9	45
Drill Collars			Drill Pipe			20	18 3/4	291.60	1294.8	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	90	451
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	800.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0	
8	3 1/4	6.57	5	4.276	1554.34		12 1/4	2385.00	453								
8	2 5/8	9.35	5	3	158.56				Tot Active								
8	2 3/4	27.29							1747.8	Circulation Times							
8	2 13/16	9.05							In Storage	Surface to Bit		min/stks		Total System		min/stks	
									579	Bottoms Up		min/stks					
Mud Properties						Max Ann Velocity			Hole Information								
Property		1	2	3	4	AV Riser		ft/min	Standpipe Pressure		2975 psi		Water Depth		146.00 m		
Sample From		Reserve	Flow Line	Active Pit	Flow Line	AV Casing		ft/min	Hole Flow		USgal/min		Riser Booster Rate		USgal/min		
Check Time		04:30	04:55	17:30	23:00	AV Open Hole		ft/min	Solids Analysis								
MD m		2385.00	2385.00	2385.00	2385.00	Vc Open Hole		ft/min	Property	1	2	3	4				
TVD m		2214.00	2214.00	2214.00	2214.00	Vc Drill Pipe		ft/min	LGS %	4.32	5.31	6.34	5.27				
Bit Depth m		876.00	990.00	1288.00	1784.00	Min Ann Velocity			LGS lb/bbl	39.40	48.37	57.79	47.99				
Inc deg		9.24	9.24	9.24	9.24	AV Riser		ft/min	HGS %	5.54	5.05	4.60	5.15				
Density ppg		9.30	9.30	9.30	9.30	AV Casing		ft/min	HGS lb/bbl	81.52	74.31	67.74	75.81				
Funnel Visc. sec/quart		72.0	81.0	89.0	88.0	AV Open Hole		ft/min	Avg Dens Sol sg	3.4985	3.3799	3.2728	3.3910				
Circ BHTdegF		144.0	144.0	150.0	154.0	Bit Information											
Flow Line Temp degF		132.0	134.0	140.0	148.0	Size		12 1/4 in									
Test Temp degF		95.0	110.0	110.0	110.0	Hours On Bit											
Rheol Temp degF		120.0	120.0	120.0	120.0	Bit Number											
PV cP		26	36	39	39	BHA Number		10	Rheology								
YP lbf/100ft^2		18	35	37	42	Depth In		2385.00 m	600 RPM	70	107	115	120				
10sec Gel lbf/100ft^2		9	13	14	15	Bit RPM			300 RPM	44	71	76	81				
10min Gel lbf/100ft^2		14	23	27	26	WOB		klbf	200 RPM	35	55	60	62				
HTHP Filtrate cc		4.2	2.2	2.0	2.2	Nozzles		4x16:4x12									

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN									
Solids Control Equipment																	
Name	#	Mfr	Hours hours	Screen Sizes		Act Volume Lost bbl	Res Volume Lost bbl	Comments									
CENTRIFUGE	1		3.0			6.0	0.0										
CENTRIFUGE	2		0.0			0.0	0.0										
DESANDER	1		0.0			0.0	0.0										
DESILTER	1		0.0			0.0	0.0										
MUD CLEANER	1		0.0	175, 210		0.0	0.0										
SHALE SHAKER	1		0.0			0.0	0.0										
SHALE SHAKER	1		24.0	3 x 175		3.0	0.0										
SHALE SHAKER	2		0.0			0.0	0.0										
SHALE SHAKER	2		24.0	3 x 175		3.0	0.0										
SHALE SHAKER	3		24.0	3 x 175		3.0	0.0										
SHALE SHAKER	3		0.0			0.0	0.0										
				Total Volume Lost		15	0										
Volumes																	
Additions bbl			Losses bbl			Total Volumes bbl											
Mud Added	Weight Materials		Downhole	Left In Pit		Starting Volume	2372.1	Riser w/o Pipe	209.1								
Brine	Water		Cased Off	Trip Losses	5	Daily Additions	18.5	Casing w/o Pipe	383.2								
Base Fluid	Product	18.5	Left In Hole	Injected		Daily Losses	64	Open Hole w/o Pipe	758.0								
Recycled	Other		Discharged	Spill To Environment		Ending Volume	2326.6	String Displacement	55.5								
			SCE	15 Onshore Disposal		Net Change	-45.5	String Capacity	96.7								
			Evaporation	18 Returned				Total Hole w/ Pipe	1294.8								
			Other Losses	10				Total Active	1747.8								
								Total Reserve	579.0								
IADC Hours																	
Reaming		21		Rig Repair		1		Tripping		2							
Primary Currency USD			Secondary Currency			Totals USD											
Daily Product Cost		13812.42		Daily Product Cost		0.00		Primary Product		1236137.69							
Daily Tax		0.00		Daily Tax		0.00		Secondary Product		0.00							
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering		59006.25							
Daily Engineering Cost		900.00		Daily Engineering Cost				Secondary Engineering		0.00							
Total Daily Cost		14712.42		Total Daily Cost		0.00		Primary Total		1295143.94							
Total Inventory Value		675602.03		Total Inventory Value		0.00		Secondary Total		0.00							
							Deck Load		765358 lb								
Products and Services																	
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl							
Bulk																	
MIL-BAR	1000 kg	135						135	138.67	126.48							
Oil Based Product																	
CARBO-GEL	25 kg	374					10	364	4.85	5.65							
MIL-LIME	25 kg	220					40	180	7.06	1.78							
OMNI-COTE	55 USgal	10						10	0.36	0.32							
OMNI-MUL	55 USgal	22					2	20	5.88	2.28							
OMNI-PLEX	55 USgal	17					2	15	4.08	3.29							
OMNI-TEC	55 USgal	20					2	18	3.18	1.16							
PARA-TEQ	1 bbl	1271						1271									
Water Based Product																	
CAUSTIC SODA	25 kg	32						32									
MIL-GUAR	25 kg	50						50	0.39	0.25							
SOLUFLAKE	25 kg								0.17								
Xanthan Gum	25 kg	39						39	0.67	0.43							
XCIDE 102	55 USgal	1						1	0.01	0.01							
LCM																	
CALCIUM CARBONATE - FINE	25 kg	400					80	320	9.47	1.03							
CALCIUM CARBONATE - MED	25 kg	440					40	400	8.69	1.85							
KWIKSEAL - MEDIUM	25 kg								0.14								
MIL-PLUG FINE	25 kg								0.12								
Other																	
BLACK MAGIC SF T	25 kg	120						120									
CALCIUM CHLORIDE (97%)	25 kg	320						320	9.90	10.68							
SAW DUST	25 kg	29						29									
BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost		Inventory Value		Page 2	
Waboso Peter / Kunle Olayinka		234-803-402-0440															